

China Biomedicine: A 10-Name Screen

Names whose structural attributes fit the 'winners' archetype — and why each over its closest rival.

Analyst research note · June 2026 · Factual screen — not investment advice

How to read this screen

This screens for the structural traits the industry note flagged as durable: differentiated assets in hot modalities (ADCs, bispecifics, cell therapy), global licensing/commercial optionality, balance-sheet strength, and the scale to survive volume-based procurement (VBP). It is **not** a buy list. Financials are most recent reported (FY2025 where available) and sourced; cells that could not be cleanly verified are flagged. Three template items are **reframed**, consistent with prior work: the P/E column shows the company multiple plus a peer proxy (no fabricated subsector average); and in place of **bull/bear price targets** and **entry/stop levels** — intrinsic-value and trade-execution calls — the final table gives the value drivers and the thesis-breaker each case hinges on, for you to run through your own model and risk budget. Peer proxy: Hong Kong biotech trades ~13x sales; HK pharma industry growth forecast ~10% p.a.; A-share innovators carry premium P/Es.

1. The screen at a glance — and why each over its rival

Company (ticker)	Subsector	Preferred over	One-line rationale
Hengrui (600276/1276)	Integrated innovator	Fosun Pharma	Deepest pipeline + biggest domestic out-licensing engine; net cash, profitable.
CSPC (1093)	Integrated / API	Sino Biopharm	Further along on innovative mix + AstraZeneca deal optionality; net cash, dividend.
BeOne / BeiGene (ONC)	Global commercial	Junshi Biosciences	Only China-rooted self-commercialised global blockbuster (Brukinsa); now profitable.
Innovent (1801)	Innovator biotech	CStone Pharma	Portfolio breadth + GLP-1 optionality + Lilly/Takeda validation; just turned profitable.
Akeso (9926)	Innovator biotech	3SBio	Owns the validated first/only approved PD-1/VEGF bispecific (ivonescimab).
Hansoh (3692)	Integrated innovator	China Medical System	Originates assets MNCs pay for (GSK, Merck); profitable with large net cash.
Kelun-Biotech (6990)	ADC specialist	RemeGen	Merck-validated TROP2 ADC (sac-TMT) with FDA priority voucher; well-funded.
WuXi Biologics (2269)	CDMO	Samsung Biologics	Scale + ADC/bispecific funnel; growth re-accelerating (but BIOSECURE-exposed).
Zai Lab (9688/ZLAB)	In-license platform	Hutchmed	Diversified global-rights portfolio nearing profitability; US-listed governance.
Legend Biotech (LEGN)	Global commercial	CARsgen	Best-in-class CAR-T (Carvykti) with J&J; franchise profitable, >\$5bn peak target.

2. Financial metrics & ratings

Company	P/E vs peer proxy	Rev FY25	Balance sheet	Div / payout	Moat	Risk
Hengrui	Premium A-share (~40–50x)	+13%	Net cash (D/E ~0)	~0.3–0.4% / ~17–24%	4	4
CSPC	~13x fwd (~22x ttm)	–10%	Net cash; D/E ~12%	~3.4% / ~30%+ (watch)	3	5
BeOne / BeiGene	High (post-profit inflection)	+40%	Net cash (\$4.5bn vs \$1.0bn)	None	4	5
Innovent	n.m. (~135x on 1st profit)	+38%	Net cash (~\$2.1bn)	None	4	6
Akeso	n.m.; P/S ~34x (vs ~13x)	+44%	Net cash; loss-making	None	4	7
Hansoh	Premium (~mid-30s)	+23%	Strong net cash (CN¥27bn)	~1.3–2.4%	4	5
Kelun-Biotech	n.m. (loss)	+6.5%	Net cash; debt/assets ~19%	None	4	7

Company	P/E vs peer proxy	Rev FY25	Balance sheet	Div / payout	Moat	Risk
WuXi Biologics	Mid-high	+17%	Net cash-ish	None	4	7
Zai Lab	n.m. (adj. profit Q4'25)	+15%	Net cash (~\$790m)	None	3	6
Legend Biotech	n.m. (co. loss; FY26 profit guided)	+40% ¹	~\$949m cash; co. loss	None	4	6

Moat 1–5 (5 = widest). Risk 1–10 (10 = highest). 'n.m.' = not meaningful (loss-making / early-profit; valued on P/S or pipeline). Revenue growth is latest reported FY (2025) YoY; clean 5-yr CAGR distorted for names with <5yr commercial history (BeOne, Innovent, Legend) or a VBP-driven mid-period dip (Hengrui) — pull from filings. ¹ Carvykti net trade sales growth.

Risk reasoning, low → high: Hengrui (4) profitable + net cash + scale, offset by rich A-share multiple and VBP on legacy products; CSPC/BeOne/Hansoh (5) add declining revenue (CSPC) or single-product concentration + US-China exposure (BeOne); Akeso/Kelun/WuXi Biologics (7) reflect, respectively, a ~34x sales multiple on losses with binary ivonescimab overall-survival risk, ADC partnership-return risk, and the BIOSECURE / 1260H overhang (a genuinely binary regulatory event).

3. Risk vs. competitive moat

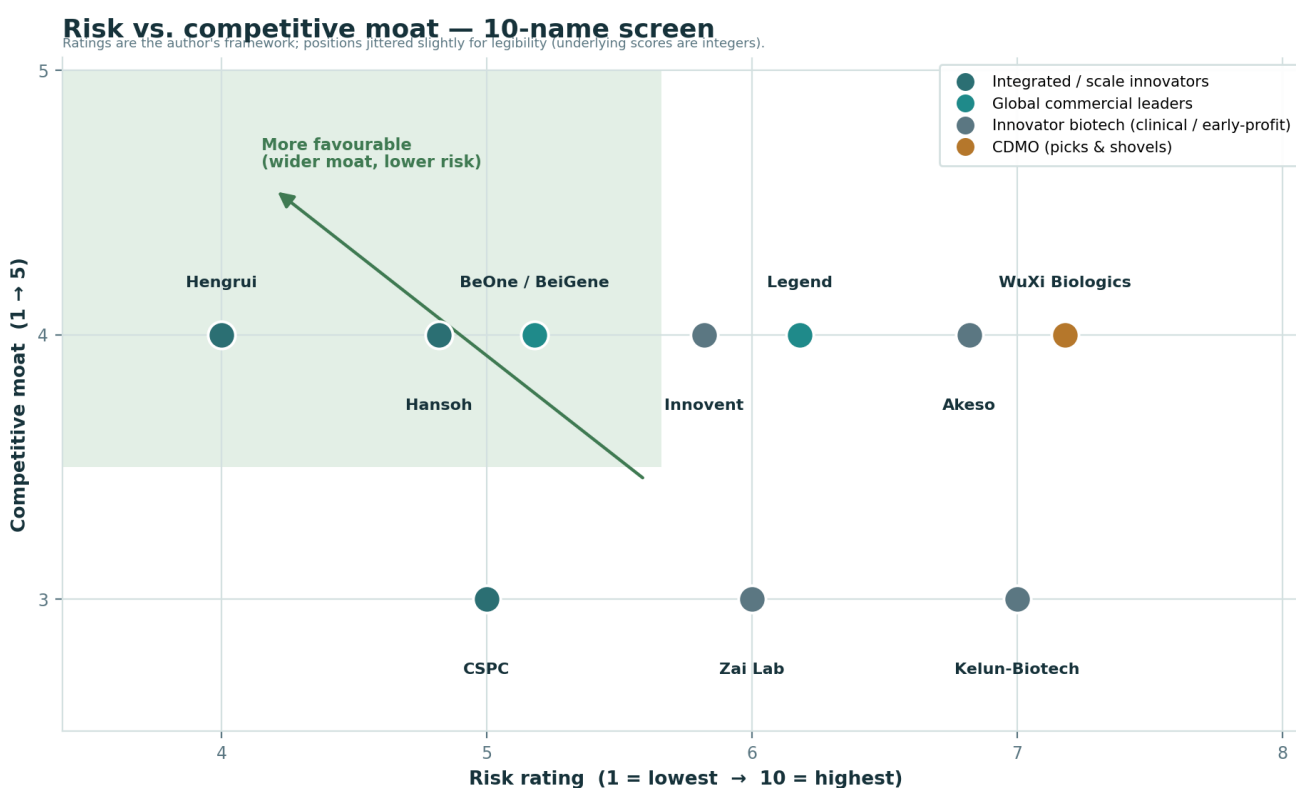


Figure 1. The upper-left zone (wider moat, lower risk) is the most favourable. Hengrui anchors it; the CDMO and single-asset biotechs (WuXi Biologics, Akeso, Kelun) sit furthest right on risk.

4. Scenario drivers & thesis-breakers (in place of price targets / entry-stop)

Company	Bull case hinges on	Bear case hinges on	Thesis-breaker (your re-underwrite trigger)
Hengrui	Out-licensing cadence; innovative mix >60%	Rich A-share multiple de-rates; VBP on legacy	Innovative-drug growth stalls or a flagship deal collapses
CSPC	AZ deals convert; pipeline replaces NBP	NBP/VBP erosion outruns launches; dividend strain	Another double-digit revenue decline with no offsetting milestone
BeOne / BeiGene	Brukinsa extends BTK lead; sonrotoclax delivers	Brukinsa concentration; BTK competition; US-China	Brukinsa share loss vs Calquence, or a pivotal Phase 3 miss
Innovent	Mazdutide GLP-1 ramp; Takeda globalisation	~135x P/E leaves no room; GLP-1 hyper-competitive	Mazdutide commercial disappointment or profit reversal

Company	Bull case hinges on	Bear case hinges on	Thesis-breaker (your re-underwrite trigger)
Akeso	Ivonescimab global OS confirms the PFS signal	Global OS already missed significance once	Negative / ambiguous global overall-survival readout
Hansoh	Continued out-licensing + ADC pipeline	Concentration; controlled-company governance	A major licensed asset returned, or a dry licensing year
Kelun-Biotech	Sac-TMT global (Merck) + FDA priority voucher	Industry-wide Merck ADC returns; competition	Merck deprioritises or returns the lead ADC
WuXi Biologics	ADC/bispecific demand + capacity + royalties	BIOSECURE / 1260H designation risk	A WuXi entity added to the 1260H list (binary)
Zai Lab	Portfolio reaches profitability; in-licensed assets scale	Cost/royalty drag; PARP competition (Zejula)	Profitability timeline slips again
Legend Biotech	Carvykti to >\$5bn peak; earlier-line adoption	CAR-T competition/manufacturing; J&J dependence	FY2026 company-wide profit guidance slips

Caveats & sources

Caveats

- Not investment advice — framework and sourced inputs only; no intrinsic-value estimates, point entry/stop levels, or fabricated sector averages.
- Loss-making names (Akeso, Kelun, Zai, Legend; Innovent on a tiny first profit) are valued on P/S and pipeline, not P/E.
- Retail-aggregator figures for dividend/payout and debt conflicted in places (e.g., CSPC payout shown as 30%, 78% and 138% across sources) — treat income-sustainability and leverage cells as directional until verified on a terminal (Bloomberg/Wind) against primary filings.
- Prices and multiples move daily; refresh before acting.

Selected sources

1. Company FY2025 results: Hengrui (BigGo/annual report); CSPC (Simply Wall St/Meyka); BeOne/BeiGene (SEC 8-K, BusinessWire); Innovent (PR Newswire/TipRanks); Akeso (company release/Futunn); Hansoh (stockanalysis/company report); Kelun-Biotech (PR Newswire/CMBI); WuXi Biologics (PR Newswire); Zai Lab (SEC 8-K); Legend Biotech (GlobeNewswire/Investing.com).
2. Valuation / balance-sheet aggregators: Simply Wall St, stockanalysis.com, Investing.com, TipRanks, GuruFocus, companiesmarketcap.
3. Industry & deal context: Jefferies (out-licensing); PharmCube via Pharmsource; SCMP; CIRSD; CKGSB; van der Kley / BIO survey (BIOSECURE); USP; plus the prior industry overview's sources.